

BEFORE
THE FEDERAL MARITIME COMMISSION

DOCKET NO. 24-19

PELTON INTERACTIVE, INC.
Complainant

vs.

FLEXPORT INTERNATIONAL LLC
Respondent

**COMPLAINANT’S THIRD MOTION FOR EXTENSION
OF THE SCHEDULING ORDER**

Complainant Peloton Interactive, Inc. (“Peloton”) respectfully moves for an extension of the deadlines in the February 19, 2025 Second Amended Scheduling Order (“Scheduling Order”). For the reasons set forth below, Peloton respectfully submits that good cause exists to extend all deadlines in the Scheduling Order to allow for the completion of fact discovery and the development of a full and complete record in this proceeding.

I. BACKGROUND

On December 20, 2024, Peloton completed its document production to Flexport. On December 27, 2024, Peloton notified Flexport that its responses to Peloton’s Discovery Requests were deficient, particularly due to its unilateral decision to limit its production to documents post-April 1, 2021. In a January 3, 2025 meet-and-confer, Flexport refused to supplement its production. On January 14, Peloton filed a motion to compel Flexport to respond to certain

interrogatories and document requests.¹

On March 5, 2025, the parties engaged in mediation but were unable to reach a resolution. During the week of March 17, 2025, the parties commenced depositions, completing 11 depositions (five Peloton witnesses and six Flexport witnesses) within a two-week period. Despite Flexport's incomplete production and while both motions to compel are pending, the parties proceeded with fact depositions to adhere to the deadlines set by the Presiding Officer. However, in light of the deficiencies in Flexport's document production and the pendency of Peloton's Motion to Compel, Peloton reserved time in each Flexport deposition.

On March 24, 2025, the parties met and conferred to try and resolve issues related to the deposition topics for each party's 143(b)(6) corporate representative. During the meet and confer, Peloton's counsel highlighted to Flexport's counsel their failure to produce all pertinent documents and communications related to Peloton's shipments. This includes invoices, bills of lading, negotiated rate arrangements, and delivery orders. Additionally, Peloton's counsel pointed out that Flexport's "Peloton Events Download" spreadsheet, which contained shipments details from Flexport's Platform, only contained information starting from October 1, 2021, and lacked shipment details prior to that date. Despite this issue being raised in Peloton's Motion to Compel,² Flexport's counsel professed ignorance and assured they would investigate the matter.

¹ In accordance with this court's March 26 Memorandum Order on Motion for Protective Order, Cease and Desist Remedy and Motions to Compel ("March 26 Order"), the parties will be conducting a separate meet and confer by April 3, 2025 to discuss the supplemental production and streamline the issues in the parties' motion to compel and will file a Joint Status Report.

² See Exhibit 1 to Peloton's Motion to Compel ("Peloton MTC") at pgs. 8-9 and 17-18 ("Further, the data provided in the spreadsheet **starts in October 2021 and only covers a total of 943 Peloton shipments**. Exhibit A to the Complaint includes over 1,939 separate shipments invoiced on after May 2021: the "Peloton Events Download" excel sheet fails to provide information or data (or complete data) for approximately a thousand shipments at issue in this proceeding. Peloton requests that Flexport be directed to amend the "Peloton Events Download" excel spreadsheet to include data for all of the shipments in Exhibit A to the Complaint.").

The Peloton Events Download is the data from Flexport's Platform for Peloton shipments. Deposition testimony revealed that the Flexport Platform tracks the lifecycle of shipments from origin to delivery and equipment return, encompassing delays due to weather, port congestion, trucker delays, and chassis shortages.³ The Flexport Platform also included internal notes for each Peloton shipment, which Flexport associates reviewed for demurrage and detention charges. These notes were also not part of the Peloton Events Download produced by Flexport. The information on the Flexport Platform serves as a comprehensive summary of the lifecycle of each Peloton shipment. This information is critical to Peloton's claims, as it impacts the ability to fully assess and verify the shipment history and related issues.

On March 25, 2025, Flexport's counsel admitted that the failure to produce invoices, bills of lading, negotiated rate arrangements, and delivery orders was due to an oversight on their part. They assured Peloton's counsel that they were in the process of uploading the documents and would provide them shortly. However, Peloton has not received any

³ Deposition Testimony of Reid Breck (March 25, 2025) when asked to explain the shipment details recorded by the Flexport Platform:

A. "Sure. So, in general -- so, I mean, just starting again at like the high level, there are different fields, plus or minus, you can pull from the Flexport platform, right. But if you look at milestones, let's just break them down into the most basic milestones. You have a cargo ready date, the date the container was picked up at the origin location; the date that the a container was delivered to the origin port, any of the subsequent ports, ashes, rail ports, ocean ports that it went through until it gets to its final port. The date that a container gated out, as well as a last free day at the port; the date that a container delivered to a customer and the empty container return date.";

See also discussion on Flexport information related to trucking delays and chassis shortages into the Flexport Platform:

Q. "What other individuals would have access to the Flexport platform to be able to input this data?

A. Which data?

Q. Trucking delay?

A. Likely a -- from my understanding, it likely can be a trucking carrier or a Flexport employee.

supplemental production from Flexport.

On March 25, 2025, the Presiding Officer held a status conference to address the parties' outstanding discovery disputes. During the status conference, the Presiding Officer stated that certain categories of documents that Flexport had refused to produce are relevant to Peloton's claims and thus that production of those documents was warranted. *See* Hearing Transcript ("Hearing Tr.") at 1:14:22 ("I also think that that's [] relevant. To have the underlying communications for the shipments that [Peloton] received invoices for in May of 2021."). The Peloton Events Download was also addressed at the hearing where Flexport counsel represented that they were looking into whether the October 2021 cutoff was inadvertent. *Id.* at 21:56 ("did agree to look into this issue as to the October [cutoff], we are looking into that if [] that was inadvertent. But we are checking to see if that was an Excel issue or [] whatever that is.").

Following the status conference, on March 26, 2025, the Presiding Officer issued a Memorandum Order that, *inter alia*, ordered Flexport "to provide the communications between it and contractors such as motor carriers and railroads, as well as marine terminal operators and ocean carriers, regarding the movement of Peloton containers/shipments for which invoices issued beginning in May 2021."⁴ Thus, after repeatedly refusing to supplement its production, despite notice by Peloton of the deficiencies in its production and attempts to meet and confer to resolve those deficiencies, Flexport has been ordered to produce additional documents in response to Peloton's Discovery Requests, including communications between Flexport and its service providers (including motor carriers and railroads), ocean carriers, and marine terminal operators with whom Flexport contracted or coordinated regarding the movement of Peloton

⁴ Dkt. No. 47.

shipments that were invoiced in or after May 2021.⁵

The Memorandum Order further ordered the parties to file a Joint Status Report by April 4, 2025, “stating whether any of the items sought through their motions to compel have been resolved, are withdrawn, or are modified based on the March 25, 2025 conference, and based on the rulings above.”⁶ Under the Scheduling Order, expert discovery began on April 2, 2025. However, Peloton has not yet received Flexport’s supplemental production, nor has it had the opportunity to review the supplemental materials. The deadline for completion of all discovery in this matter is May 19, 2025. In light of the Presiding Officer’s directives during the March 25 status conference, the March 26 Memorandum Order instructing Flexport to supplement its document production, and Flexport’s admission that it inadvertently did not produce all relevant documents, Peloton expects to receive a substantial number of additional documents related to its claims that Flexport has previously failed to produce. With expert reports due on April 21, 2025, Peloton and its experts require additional time to review Flexport’s supplemental production. With expert reports due on April 21, 2025, we need an extension to ensure a thorough examination of the materials. Furthermore, Peloton has held depositions open and may need additional time with witnesses based on the results of the supplemental production. Accordingly, there is good cause for extending the existing schedule to ensure the development of a full and complete record.

II. ARGUMENT

The November 8, 2024 Scheduling Order states that a “motion which sets forth good cause to extend the schedule . . . will be considered if the parties are unable to meet the deadlines

⁵ See Dkt. 47 at 1.

⁶ *Id.* at 2.

above.”⁷ Peloton asserts that there is substantial good cause to extend the schedule, given this case’s size and complexity, and the supplemental production of documents and information by Flexport that has been ordered by the Presiding Officer. Peloton needs this supplemental information in order to complete its fact and expert discovery efforts.

As discussed more fully below, Peloton’s ability to develop a full and complete record with respect to its claims has been significantly compromised⁸ due to Flexport’s refusal to produce documents that the Presiding Officer held are relevant and must be provided. While Peloton proceeded with taking depositions, it reserved time with each Flexport witness to address ongoing discovery issues and any supplemental production. Based on Peloton’s review, the incomplete production and lack of underlying documentation has severely hampered Peloton’s ability to fully assess and verify shipment histories and related issues. This has left Peloton operating with incomplete information, undermining its position and impeding its ability to effectively pursue its claims and establish a full and complete record, as no supplemental information was received before depositions concluded. On this basis, Peloton respectfully requests that the current schedule be extended.

a. Flexport’s Upcoming Supplemental Production of Documents Mandates an Extension of the Schedule

During the March 25 status conference, the Presiding Officer agreed with Peloton that communications related to the circumstances underlying the movement of containers that were not invoiced until May 2021 onward are relevant to Peloton’s claim and should be produced by Flexport. See Hearing Tr. at 1:14:22 (“I think that’s a fair compromise too . . . I also think that

⁷ Dkt. No. 19 at p. 4.

⁸ In light of the pending discovery issues, Peloton reserved time with each Flexport witness to address the supplemental production.

that's [] relevant. To have the underlying communications for the shipments that you received invoices for in May of 2021.”). The Presiding Officer acknowledged that such communications would invariably extend farther back than May 2021. *See id.* (“You will have to go back further than May of 2021 for the communications on the invoice.”). Further, with respect to the Peloton Events Download, Flexport has not provided an update or an explanation on why it only provided shipment details post-October 2021. Flexport counsel represented that he was “checking to see if that was an Excel issue or or whatever that is. But I as I, as I told Miss little last night at 10:30 at 9:30 PM that we will look into that and provide the details.” *See* Hearing Tr. at 21:56.

Given that there are thousands of invoices at issue in this case, the volume of documents that Flexport must produce pertaining to shipments invoiced in or after May 2021 is expected to be substantial.⁹ ZIM Integrated Shipping Services Ltd. (“ZIM”) represented in its Motion to Quash that “[a]ll or virtually all of the documents sought by the Subpoena can be easily obtained from Flexport, the party to the litigation in this matter.”¹⁰ But Flexport has produced a minimal number of communications to date. For example, during the period from 2020 through 2022, Flexport billed Peloton **over \$11 million** in detention and demurrage charges for containers transported by ZIM. Yet, Flexport produced only **six (6)** email communications between it and ZIM related to Peloton shipments. Given that there are 3,200 Peloton invoices at issue, Flexport’s communications with its contractors should number in the thousands. The disproportionality between the number of emails with ZIM that Flexport produced and the amount of demurrage that Flexport billed Peloton for containers transported by ZIM suggests severe deficiencies in Flexport’s production, and suggests that if Flexport conducts an appropriate document search and

⁹ There are 121 FLEX-ID’s where Flexport arranged for the movement of a Peloton shipment before May 1, 2021 but issued an invoice on or after May 1, 2021.

¹⁰ Dkt. No. 41 at pg. 3.

review, its forthcoming supplemental production should be substantial.¹¹

In fact, Flexport’s 143(b)(6) corporate designee, Ryan Tanner, acknowledged the incompleteness of the evidentiary record with respect to Peloton shipments transported by ZIM during his deposition on March 27, 2025. When asked to testify regarding one of the six emails between Flexport and ZIM concerning extension of free time on a container at the port, Tanner stated: “I can’t tell from this screenshot what they’re underlying basis was *and I don’t have all the emails or shipment files* but they [the trucker] – they asked for [an extension] . . . *I think it would be great to go through the discovery files and pull the invoice for that ZCSU container* and really --- if there really is an invoice. There’s not an invoice in discovery.” Flexport 143(b)(6) Dep. Tr. at 203:22-204:9. Tanner later testified to the importance of having the entire set of documents and communications regarding a shipment to determine the underlying circumstances: “[T]his is why I say it’s very important to have the entire shipping file because it paints a story. You can’t go just based off one email or one spreadsheet[.]” *Id.* at 209:6-11. Tanner also testified that he would look “at further emails with the trucker” and “any invoices issued by the underlying master carrier” to determine. *Id.* at 213:3-6. Thus, Flexport itself has recognized the importance of being able to review complete documentation with respect to each disputed container or shipment to understand the nature of the charges accrued.

b. Flexport’s Supplemental Production of Documents Mandates an Extension of the Schedule for the Development of a Full and Complete Record

Rule 102(a) of the Commission’s Rules of Practice and Procedure, 46 C.F.R. §

¹¹ Flexport’s production of its communications with other ocean carriers to date is likewise *de minimis*. For example, Flexport’s production contains a total of only nine (9) emails with Evergreen Shipping Agency (America) Corp., four (4) emails with COSCO Shipping Lines Co., Ltd., and two (2) emails with YangMing Marine Transport Co. The production of communications with other service providers, such as motor carriers and marine operations terminals, is also alarmingly sparse. This indicates that the volume of documents Flexport will need to provide in its supplemental production is likely to be substantial.

502.102(a), provides in relevant part: “Motions for enlargement or reduction of time for the filing of any pleading or other document, or in connection with the procedures of subpart L of this part, may be granted upon a showing of good cause.” Where a party is ordered to or agrees to supplement its production, the Commission has found it reasonable to grant an extension of a scheduling order to allow sufficient time for the producing party to make and for the receiving party to adequately review the supplemental production. In *OL USA LLC v. Maersk A/S*, Dkt. No. 24-11, 2024 WL 3164571, at *1 (ALJ June 14, 2024) (Crovella, J. presiding), a request for an extension of the discovery schedule was deemed reasonable where the production of documents and responses to interrogatories was delayed and a party was ordered to make a supplemental production. See also *TZ SSE Buyer, LLC v. COSCO Shipping Lines Co., Ltd.*, Dkt. No. 24-09, 2025 WL 934062, at *1 (ALJ Mar. 19, 2025) (finding good cause to amend scheduling order based in part on respondent’s additional document productions); *SeaFair USA LLC v. Sterling Container Line Ltd.*, Dkt. No. 22-34, 2023 WL 4329867, at *1 (ALJ June 26, 2023) (good cause shown for extending scheduling order to enable complainant to review several thousand documents provided by respondent in supplemental production).

This comports with the Commission’s policy strongly favoring allowing sufficient time for development of a full evidentiary record. See *Anderson International Transport and Own Anderson - Possible Violations of Sections 8(a) and 19 of the Shipping Act of 1984*, Dkt. No. 07-02, 2009 WL 6084172, at *2 (FMC Dec. 4, 2009) (reopening the record because Commission precedent “favors the agency making its decision based on the most complete record available”).

c. Proposed Amended Schedule

In light of the Presiding Officer’s order to Flexport to supplement its production, additional time will be necessary for Flexport to comply with the order and to afford Peloton the

opportunity to review the supplemental production. Thus, for the reasons stated above, Peloton respectfully requests that the Presiding Officer extend the schedule as follows:

Event	Current Deadline	Proposed Deadline
Respondent's Supplemental Production		May 2, 2025
Complete Fact Depositions	March 28, 2025	June 2, 2025
Expert Discovery Begins/Joint Status Report	April 2, 2025	June 16, 2025
Expert Reports Due	April 21, 2025	June 20, 2025
Responses to Expert Reports	May 5, 2025	July 14, 2025
Expert Depositions Completed	May 19, 2025	July 28, 2025
Completion of All Discovery	May 19, 2025	July 28, 2025
Complainant's initial brief, proposed findings of fact, and appendix	June 16, 2025	August 27, 2025
Respondent's opposition brief, responses to proposed findings of fact, proposed findings of fact, and appendix	July 14, 2025	September 26, 2025
Complainant's reply brief and responses to proposed findings of fact	July 28, 2025	October 10, 2025

III. MEET AND CONFER CERTIFICATION

Pursuant to 46 C.F.R. § 502.71(a), on April 2, 2025, counsel for Peloton informed Flexport counsel that it intended to file a motion for extension of the Scheduling Order. Flexport counsel opposes the motion for extension, asserting that it will be producing the information that was inadvertently not included in the prior production by the end of the week. Flexport represented that it will produce pre-October 2021 shipment details from the Flexport Platform, including supplemental information for over a thousand shipments. Flexport will also produce supplemental invoices, bills of lading, and negotiated rate arrangements. Flexport asserts that supplemental production related to service providers has already been provided or will be contained in the Flexport Platform. Flexport has produced minimal communications and has not

provided documentation pre-April 2021 for shipments invoiced on or after May 2021. Given the substantial amount of information, Peloton will need extra time to review and also confirm the inclusion of underlying documentation.

IV. CONCLUSION

For the foregoing reasons, Peloton respectfully requests that its motion to extend the Scheduling Order be granted.

Dated: April 2, 2025

Respectfully Submitted,

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CERTIFICATE OF SERVICE

The undersigned hereby certifies that on the execution date which appears below, the undersigned served the attached document on counsel at the following email addresses:

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